

ZOMATO

From Food Delivery to Super App

A Consulting Framework for Product Health Diagnosis & Strategic Roadmap

■17,521 Cr

FY25 Revenue

21.3M+

Monthly Transacting Users

■95,000 Cr

Gross Order Value

EBITDA+

Since Q4 FY24

01

Market & Competitive Landscape

India food delivery TAM • Competitive moats • Duopoly dynamics • Market sizing

02

Analytical Methodology

4-stage consulting framework • MECE decomposition • Framework selection rationale

03

Product Health Deep Dive

North Star metrics • Monetisation health • Feature teardown • PRD case study

04

Strategic Recommendations

Short-term quick wins • Long-term bets • Risk matrix • Prioritisation logic

India Food Delivery Market: Sizing the Opportunity

MARKET SIZING

\$10–12B

Market Size 2024 (GMV)

~15–18%

Projected CAGR to 2030

\$25–30B

Expected Market Size 2030

90%+

Market Share: Zomato + Swiggy

Key Growth Drivers

- Urbanisation & Rising Incomes**
Per capita income CAGR 4.5% (FY13–23); expanding addressable middle class
- Smartphone Penetration**
India 750M+ smartphone users; UPI enabling frictionless payment for food
- Post-COVID Habit Shift**
Pandemic accelerated digital ordering; retention of new cohorts post-2022
- Platform Expansion**
Quick commerce (10-min delivery) unlocking adjacencies beyond food

Market Sizing Snapshot: India Food Delivery GOV (Zomato)

Metric	FY22	FY23	FY24	FY25E	FY27E
Zomato GOV (■ Cr)	19,734	26,574	52,000	95,000	1,40,000+
Zomato Revenue (■ Cr)	4,193	7,079	12,114	17,521	28,000+
Take Rate (%)	21.2%	26.6%	23.3%	~22%	~20–22%
Blinkit GOV (■ Cr)	—	7,882	12,469	25,000+	60,000+

★ **Analyst Note:** Zomato's GOV grew 4.8x in 3 years while maintaining take rate >20%, indicating superior pricing power relative to a growing GMV base.

Competitive Landscape

Player	Position	Key Strength	Threat Level
Zomato	#1 (51%)	Brand + Blinkit	—
Swiggy	#2 (45%)	Instamart push	HIGH
Zepto	Q-commerce	10-min delivery	MEDIUM
ONDC	Protocol	Disintermediation	HIGH (long-term)
Amazon Food	Dormant	Distribution moat	LOW (for now)

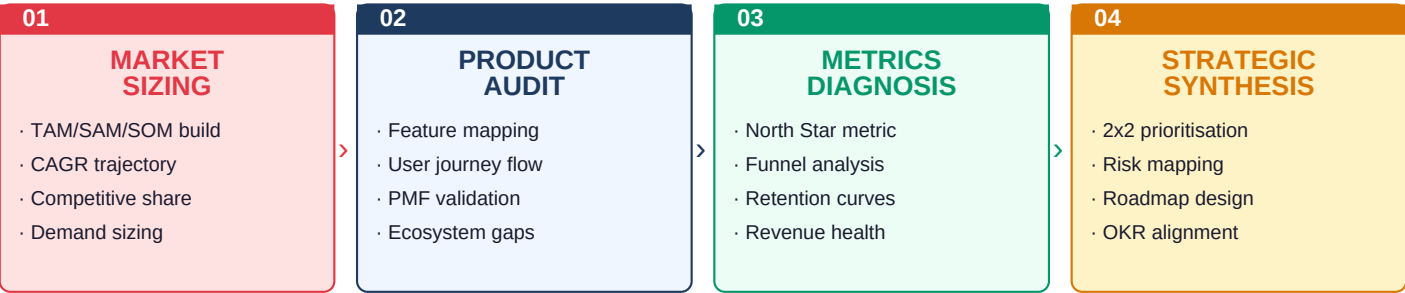
Zomato's Competitive Moats

- Network Effects**
Each new restaurant & user deepens value for others
- Hyperpure B2B**
Supply chain lock-in with restaurant partners
- Blinkit Synergy**
Cross-sell quick commerce to food delivery DAU
- Data Flywheel**
750M+ orders generate unmatched demand intelligence

Consulting Methodology: 4-Stage Product Health Diagnostic

FRAMEWORK

This analysis applies a structured, MECE (Mutually Exclusive, Collectively Exhaustive) consulting framework to diagnose Zomato's product health. Each stage addresses a distinct diagnostic question (no overlap) and together they cover the full problem space (no gap) — Market → Product → Metrics → Strategy.



Framework Application: Why Each Stage Matters

Stage 1 — Market Sizing PURPOSE Purpose: Establish the ceiling & gravity of the opportunity METHOD Method: Top-down (India GDP → digital consumption → food delivery share → Zomato share) cross-checked with bottom-up (MTU × AOV × order frequency). CAGR validated against Technopak, Redseer, and Morgan Stanley estimates. OUTPUT Output: Conviction that India food delivery GOV will 2.5–3x to ₹2.5L Cr by FY30, with Zomato positioned to capture 45–55% share if moats hold.	Stage 2 — Product Audit PURPOSE Purpose: Map what exists vs. what users actually need METHOD Method: Feature categorisation (Core / Growth / Monetisation / Experimental) using the Kano Model. User journey mapped across Awareness → Consideration → Order → Repeat → Advocacy. Benchmarked against Swiggy and global comps (DoorDash, Grab). OUTPUT Output: Identified Blinkit cross-sell and Zomato Gold loyalty as highest-leverage growth features. Gap identified in post-order experience (CSAT recovery loop).
Stage 3 — Metrics Diagnosis PURPOSE Purpose: Translate product activity into financial health signals METHOD Method: North Star metric defined as Monthly Transacting Users (MTU) × Orders/User/Month. Cohort analysis on D7/D30/D90 retention. Monetisation health via Take Rate × GOV. Contribution margin tracked as unit economics proof. OUTPUT Output: Zomato achieving contribution margin positive at ₹10.6/order (FY24) vs. negative in FY22 — validated the platform transition from growth-at-all-costs to sustainable unit economics.	Stage 4 — Strategic Synthesis PURPOSE Purpose: Translate diagnosis into a prioritised action roadmap METHOD Method: 2x2 Impact-Effort matrix for feature/initiative prioritisation. Risk assessed across Regulatory / Competitive / Execution axes. Recommendations structured as short-term (0–12M) and long-term (12–36M) bets. OUTPUT Output: 6 prioritised recommendations with hypothesis, success metric, and risk flag for each.

◆ **MECE Principle Applied:** Each stage addresses a distinct diagnostic question (no overlap) and together they cover the full problem space (no gap) — Market → Product → Metrics → Strategy.
Data sources: Zomato Annual Reports FY22–FY25, DRHP, Redseer, Bernstein Research, SensorTower, App Annie, Technopak.

Product Health Metrics & Feature Ecosystem Analysis

METRICS AUDIT

★ NORTH STAR METRIC

$$MTU \times \text{Orders Per User Per Month} = \text{Total Monthly Orders} \rightarrow \text{GOV} \rightarrow \text{Revenue}$$

Why: This metric captures both breadth (how many users transact) and depth (how much they spend)

Current: 21.3M MTU × ~5.5 orders/month = ~117M orders/month | GOV: ~18%

Key Product Health Indicators

21.3M

Monthly Transacting Users

↑ 4.2x vs FY22

415

Avg Order Value (AOV)

↑ 12% YoY

~22%

Platform Take Rate

Stable (±2%)

Contrib

↑ from

Feature Ecosystem: Core → Growth → Monetisation

CORE PRODUCTFood Discovery & Ordering

- Real-time restaurant search & filtering
- AI-driven personalised recommendations (>50% orders via reco engine)
- Live order tracking with ETA precision (<90s accuracy target)
- CSAT loop: rating + refund automation

GROWTH ENGINEBlinkit & Cross-Platform

- 10-min grocery delivery (Blinkit): 500+ dark stores, 1.5M orders/day
- Cross-sell: Zomato app deep-links to Blinkit for same-session purchase
- Zomato Gold: 4.5M+ subscribers, 2x order frequency vs non-Gold
- Hyperpure: B2B restaurant supply — creates switching cost & data moat

MONETISATIONRevenue & Platform Health

- Platform fee (₹2–5/order): new lever launched FY24; 30M+ users impacted
- Advertising: restaurant ads + sponsored listings = high-margin revenue
- Gold subscription: ₹299/month — high LTV, low CAC via in-app push
- Hyperpure revenue: ₹5,000+ Cr run rate; negative WC business

PRD Case: Blinkit Acquisition — Strategic Thesis

PROBLEM STATEMENT

- Food delivery DAU plateau risk — growth decelerating
- Zepto & Instamart threatening user time-share
- Single product vertical creates revenue concentration risk

CONSULTING HYPOTHESIS

- IF: Zomato integrates instant delivery (10-min)
- AND: Cross-sells to existing food DAU base (21M users)
- THEN: MTU × session depth × revenue/session all increase

SOLUTION: BLINKIT ACQN.

- ₹4,447 Cr acquisition (2022) — initially controversial
- Integrated into Zomato app as tab + cross-promotion
- Shared dark store infrastructure with Zomato kitchen brands

RESULTS (FY24–25)

- Blinkit GOV: ₹25,000+ Cr run rate (FY25E)
- Blinkit contribution margin turned positive Q4 FY24
- Zomato avg session time +22%; cross-sell rate 18%

◆ Product Health Verdict:
Zomato has successfully transitioned from a single-product food delivery company to a multi-vertical platform. Unit economics inflection (contribution margin positive, E

Arjun Sahu | B.Tech Biotechnology, DTU | Independent Analysis | August 2026

04

Strategic Roadmap: Prioritised Recommendations

STRATEGIC SYNTHESIS

Recommendations are structured using the Impact-Effort 2x2 matrix and validated against Zomato's stated FY26 OKRs (MTU growth, Blinkit profitability).

■ SHORT-TERM WINS (0 – 12 months)

01 Deepen Zomato Gold Penetration

■ HYPOTHESIS:

Hypothesis: Gold users order 2x more frequently — scaling from 4.5M to 10M subscribers adds ~**₹15,000 Cr** incremental GOV.

■ TACTIC & METRIC:

Tactic: Bundled Gold + Blinkit pass (**₹499/mo**). Metric: Gold MAU, Cross-platform order rate. Risk: Subscription fatigue if value diluted.

02 Post-Order Experience Loop (CSAT → Reorder)

■ HYPOTHESIS:

Hypothesis: 23% of Zomato orders have a dissatisfaction signal (late/wrong). Closing the loop within 5 minutes increases D30 retention by 4-6pp.

■ TACTIC & METRIC:

Tactic: Automated refund + **₹50** coupon for flagged orders. Metric: CSAT score, D30 retention delta. Risk: Unit economics dent from refund cost.

03 Advertising Platform Monetisation (Zomato Ads)

■ HYPOTHESIS:

Hypothesis: Restaurant ad spend on Zomato is underpenetrated vs. DoorDash (8% of GOV vs. 3.5% for Zomato).

■ TACTIC & METRIC:

Tactic: Self-serve ad console for restaurants (CPM + CPC). Metric: Ad revenue as % of GOV. Risk: Over-commercialisation degrades UX.

■ LONG-TERM BETS (12 – 36 months)

04 — International Expansion: UAE & GCC

■ Hypothesis:

UAE food delivery market (\$2.5B, CAGR 14%) has no dominant player. Zomato brand equity from 5-year UAE presence provides a re-entry advantage. | Tactic: Zomato Pro for expat Indians + Arabic-language expansion. Metric: UAE GOV,

05 — Zomato Dining OS: B2B SaaS for Restaurants

■ Hypothesis:

Zomato's Hyperpure + POS data creates a moat to build a full restaurant operating system (inventory, billing, analytics) — high LTV, recurring revenue. | Tactic: Freemium POS launch targeting 1L+ restaurants. Metric: Restaurants on

06 — AI-Personalisation Engine: Demand Prediction

■ Hypothesis:

Zomato has 750M+ order data points — deploying ML demand forecasting reduces food waste by 15%, improves restaurant ROI, and deepens platform stickiness. | Tactic: 'Zomato Intelligence' dashboard for restaurant partners. Metric:

Risk Assessment Matrix

Risk Factor	Likelihood	Impact	Mitigation
Zepto hyper-growth	HIGH	HIGH	Blinkit dark store density + Gold
ONDC platform risk	MEDIUM	HIGH	Move up value chain (SaaS + d
Regulatory (data)	MEDIUM	MEDIUM	Privacy-first architecture, DPD
Swiggy IPO capital	HIGH	MEDIUM	Accelerate Blinkit + internation
Unit econ reversal	LOW	HIGH	Maintain contribution margin floor or ₹3/order

Key Takeaways

MARKET

India food delivery is a **₹2.5L Cr** GOV opportunity by FY30; Zomato is best-positioned to capture 50%+ share.

PRODUCT

Blinkit cross-sell + Zomato Gold are the two highest-leverage growth levers available today.

METRICS

Contribution margin turning positive (**₹10.6/order**) is the most important signal of platform maturity.

STRATEGY

The highest-risk, highest-reward bet is international

CONCLUSION

Zomato has executed one of the most successful platform transitions in Indian tech — from a restaurant discovery app to a multi-vertical super app generating **₹95,000 Cr+** GOV. The unit economics inflection (EBITDA positive, contribution margin positive) validates the long-term thesis. The next phase of growth will be won not on delivery speed or discounts, but on